# KEY TERMINOLOGY

# ECONOMY

## MODULE - 23

- Annual Financial Statement
- Consolidated Fund of India
- Contingency Fund of India
- Public Account

- Finance Bill
- Demands for Grants
- Appropriation Bill
- Charged Expenditure

# KEY TERMINOLOGY IN ECONOMY

## ANNUAL FINANCIAL STATEMENT

1. It is the document as per article 112 of the Constitution. It shows estimated receipts and expenditure of the Government of India for the budget year as well as revised estimates for the current financial year and the actual estimates for the previous financial year.

2. As per the Constitution of India, Annual Financial Statement must distinguish the expenditure on revenue account from that of other accounts. Hence, the Government Budget comprises Revenue Budget and Capital Budget.

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## THE CONSOLIDATED FUND OF INDIA

1. It is as per Article 266 (1) of the Constitution. All the revenues received by the Government as well as the loans raised by it will go to the Consolidated Fund of India.

2. No amount can be drawn without due authorisation from the Parliament.

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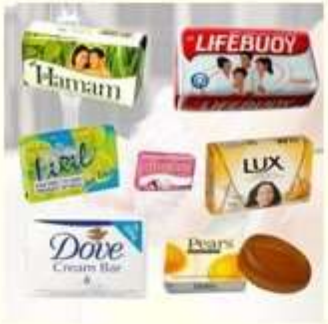
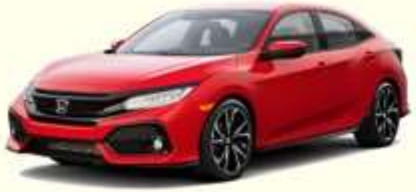
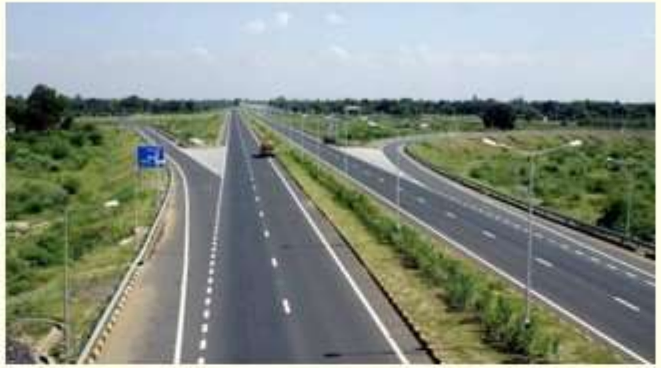
## RECEIPTS

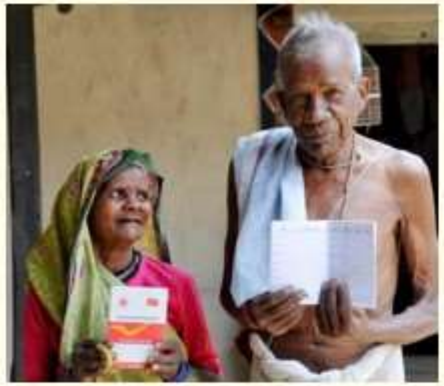

Reliance
Industries Limited



## EXPENDITURE





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## THE CONTINGENCY FUND OF INDIA

1. It is as per article 267 (1) of the Constitution.
2. It is an imprest placed at the disposal of the President of India.
3. The main purpose is to facilitate meeting urgent unforeseen expenditure by the Government, pending authorization from Parliament.
4. Parliamentary approval is obtained for such unforeseen expenditure ex post-facto.
5. An equivalent amount is drawn from the Consolidated Fund to recoup the Contingency Fund after such ex post-facto approval.
6. The corpus of the Contingency Fund as authorized by Parliament presently stands at Rs.500 crore.

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## PUBLIC ACCOUNT

1. It is as per Article 266 (2) of the Constitution. These are the moneys held by the Government in trust as Provident Funds, Small Savings collections, income of Government set apart for expenditure on specific objects such as road development, Reserve/Special Funds, etc.

2. Public Account funds do not belong to the Government.

3. They have to be finally paid back to the persons and authorities, who deposited them.

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## PUBLIC ACCOUNT

4. Parliamentary approval is not required for withdrawals from the Public Account.

5. When amounts are withdrawn from the Consolidated Fund with the approval of Parliament and kept in the Public Account for expenditure on specific projects, the actual expenditure on the specific project is again submitted for vote of Parliament for drawal from the Public Account for incurring expenditure on the specific project.

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## DEMANDS FOR GRANTS

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1. Article 113 of the Constitution mandates that the estimates of expenditure from the Consolidated Fund of India included in the Annual Financial Statement and required to be voted by the Lok Sabha are submitted in the form of Demands for Grants.
2. These are presented to the Lok Sabha as part of the budgetary process. Generally, one Demand for Grant is presented in respect of each Ministry or Department.
3. Each demand initially gives separately, the totals of voted and charged expenditure, as well as the revenue and capital expenditure along with the grand total.
4. No demand for a grant shall be made except on the recommendation of the President

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## CHARGED EXPENDITURE

- These are non-votable charges, no voting takes place for the amount involved in these expenditures.
- They have to be paid in any case.
- Salary and Allowances of the President, Speaker / Deputy Speaker of Lok Sabha, Chairman / Deputy Chairman of Rajya Sabha, Salaries and Allowances of Supreme Court Judges, Pensions of Supreme Court as well as High Court Judges, Salaries and Allowances of CAG, etc.
- Similarly, Debt charges of Government of India including servicing and redemption.
- Amounts required to honour Court decrees.

***The above expenditures cannot be voted because; these payments are deemed to be guaranteed by the state. Although voting does not take place on such charges, discussion can take place in any House of the Parliament.***

- *The salary of High Court Judges is charged from Consolidated Fund of States, but their pension comes from Consolidated Fund of India.*
- *The Attorney General or Solicitor General charges is not a charged expenditure.*

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## APPROPRIATION BILL

1. Under Article 114(3) of the Constitution, no amount can be withdrawn from the Consolidated Fund of India without the enactment of such a law by Parliament.

2. After the Demands for Grants are voted by the Lok Sabha, Parliament's approval to the withdrawal from the Consolidated Fund of the amounts so voted and of the amount required to meet the expenditure charged on the Consolidated Fund is sought through the Appropriation Bill.

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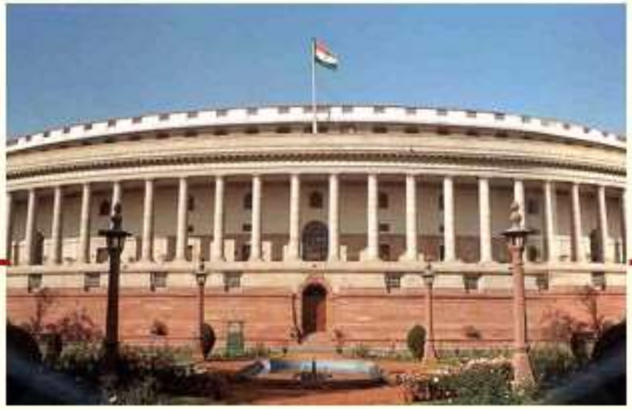
CONSOLIDATED FUND OF INDIA

DEMANDS FOR GRANTS

APPROPRIATION ACT



FINANCE ACT

# KEY TERMINOLOGY IN ECONOMY

## FINANCE BILL

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1. At the time of presentation of the Annual Financial Statement before Parliament, a Finance Bill is also presented as per the requirement of Art 265 & 110 (1)(a) of the Constitution. This details the imposition, abolition, remission, alteration or regulation of taxes proposed in the Budget.

2. It also contains other provisions relating to the Budget, that could be classified as a money bill.

3. A Finance Bill is a Money Bill as defined in Article 110 of the Constitution. It is accompanied by a memorandum explaining the provisions included in it.

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## MONEY BILL

### ARTICLE 110(1) OF THE CONSTITUTION

**a** Imposition, abolition, remission, alteration or regulation of any tax.

**b** Regulation of borrowing by the Govt.

**c** Custody of Consolidated Fund or the Contingency Fund of India, the payment of moneys into or the withdrawal of moneys from any such fund.

**d** Appropriation of moneys from the Consolidated Fund of India

**e** Declaring of any expenditure charged to the Consolidated Fund of India or increasing of the amount of any such expenditure.

**f** Receipt of money on account of the Consolidated Fund of India or the Public Account of India or the custody or the issue of such money or of the audit of the accounts of the Union or of a State.

But as per Clause 110(1) (g), any matter "incidental to" any of the matters specified here.

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